Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · RHP

Tonbo Imaging India Limited

Mainboard · Defence electronics: electro-optic and thermal imaging systems · filed 2026-10-10 · lead manager(s): JM Financial Limited; IIFL Capital Services Limited · issue size Rs 852 cr · price band: Rs 665-700 · analysed 2026-10-19

CALL

Avoid

CHECKS

2 fail · 3 watch · 5 pass · 2 open

At Rs 700 the price sits in line with listed defence peers on P/E (78.8x vs 73-118x), but revenue fell 22.7% in FY26, operating cash flow was negative in FY25, FY26 and Q1 FY27, and our DCF (Rs 67) is far below the relative value (Rs 832); the offer is entirely a sale by existing holders.

Revenue FY26 **₹363 cr** CAGR FY24-FY26: **-8.0%**	PAT FY26 **₹51 cr** CAGR FY24-FY26: **-13.8%**	EBITDA margin **28.8%** FY24: **26.2%**	Cash conversion (CFO / PAT, 3 yrs) **-63.0%**
Cash tax rate (3 yrs) **23.3%**	P/E at reference (post-issue) **78.8x** peer median: **85.6x**	Blended value (Neutral) **₹373.06** vs reference: **-46.7%**	Reference price **₹700** Upper band Rs 700. At Rs 700: market cap Rs 4,009.75 cr, P/E 78.8x FY26 diluted EPS Rs 8.88, P/B 7.25x, EV/EBITDA 39.1x FY26. Pre-IPO secondary transfers to institutions on 29-30 Sep 2026 were also at Rs 700 (pp. 151-152).

Where to focus

× Fail **Cash flow vs profit** p. 90

CFO Rs 783.33 m / -1,361.19 m / -632.16 m FY24-26 and -146.83 m in Q1 FY27, against PAT 685.43 / 727.57 / 508.80 / -177.37. Cumulative CFO/PAT FY24-26 = -63.0%. Working-capital days 152 → 280 → 517 (p. 144).

× Fail **Related-party capex & subsidiaries** pp. 94, 439

IP bought from CEAQ Singapore (formerly Tonbo Imaging Pte; an enterprise with substantial interest, selling shareholder) for Rs 1,831.91 m in Mar-2024, valued by DCF (MPEEM, 10-year life) and capitalised: 54.4% of FY24 total expenses. Material purchases from CEAQ Singapore continue: Rs 789.80 m in FY26 (26.3% of total expenses) and Rs 171.99 m in Q1 FY27 (28.2%).

! Watch **Goodwill vs tangible equity** p. 87

No goodwill. Intangible assets Rs 1,627.01 m at 31-Mar-2026 = 29.4% of net worth, mostly the related-party IP purchase; amortisation lifts D&A from Rs 133.95 m (FY24) to Rs 313.35 m (FY26).

! Watch **Customer / supplier / geographic concentration** pp. 23-25, 250-251

Top-10 customers 77.83% of FY26 revenue and 98.17% in Q1 FY27 (top-1 54.74%); Indian Government 71.19% of FY26 revenue; foreign-government revenue fell from Rs 2,676.93 m to Rs 121.14 m. Top-10 suppliers 68.77% of FY26 total expenses with no long-term supply contracts.

! Watch **Contingent liabilities** p. 92

Bank guarantees Rs 789.34 m = 14.7% of 30-Jun-2026 net worth; GST disputes Rs 8.32 m; a customs notice received 23-Jul-2026 is disclosed as a contingent liability without an amount. Materiality threshold Rs 32.03 m (p. 447).

▲ Model guard **Valuation model guard**

AMBER: DCF and relative diverge by -91.9% - the divergence is the finding; name its cause

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	19:1 bonus (30-Jun-2025) and split from Rs 10 to Rs 2 are reflected: diluted EPS 13.63 / 12.70 / 8.88 FY24-26 and NAV Rs 96.57 are on the post-bonus, post-split count of 57,282,100 shares.	pp. 126, 139
2	Cash flow vs profit	✕ Fail	CFO Rs 783.33 m / -1,361.19 m / -632.16 m FY24-26 and -146.83 m in Q1 FY27, against PAT 685.43 / 727.57 / 508.80 / -177.37. Cumulative CFO/PAT FY24-26 = -63.0%. Working-capital days 152 → 280 → 517 (p. 144).	p. 90
3	Current vs deferred tax	✔ Pass	Current tax (incl. MAT) Rs 615.64 m on cumulative PBT Rs 2,637.74 m FY24-26 = 23.3%; deferred tax is a small share of the charge.	p. 89
4	Related-party capex & subsidiaries	✕ Fail	IP bought from CEAQ Singapore (formerly Tonbo Imaging Pte; an enterprise with substantial interest, selling shareholder) for Rs 1,831.91 m in Mar-2024, valued by DCF (MPEEM, 10-year life) and capitalised: 54.4% of FY24 total expenses. Material purchases from CEAQ Singapore continue: Rs 789.80 m in FY26 (26.3% of total expenses) and Rs 171.99 m in Q1 FY27 (28.2%).	pp. 94, 439
5	Objects arithmetic as price floor	– N.A.	Pure offer for sale; the company receives no proceeds, so there is no objects floor.	p. 134
6	Revaluation reserve	○ Open		
7	Goodwill vs tangible equity	! Watch	No goodwill. Intangible assets Rs 1,627.01 m at 31-Mar-2026 = 29.4% of net worth, mostly the related-party IP purchase; amortisation lifts D&A from Rs 133.95 m (FY24) to Rs 313.35 m (FY26).	p. 87
8	Customer / supplier / geographic concentration	! Watch	Top-10 customers 77.83% of FY26 revenue and 98.17% in Q1 FY27 (top-1 54.74%); Indian Government 71.19% of FY26 revenue; foreign-government revenue fell from Rs 2,676.93 m to Rs 121.14 m. Top-10 suppliers 68.77% of FY26 total expenses with no long-term supply contracts.	pp. 23-25, 250-251
9	Contingent liabilities	! Watch	Bank guarantees Rs 789.34 m = 14.7% of 30-Jun-2026 net worth; GST disputes Rs 8.32 m; a customs notice received 23-Jul-2026 is disclosed as a contingent liability without an amount. Materiality threshold Rs 32.03 m (p. 447).	p. 92
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✔ Pass	Kalyanasundaram and Associates (FRN 005455S); no auditor change in three years; no qualifications, reservations or emphasis of matter; audit-trail (Rule 11(g)) operated throughout.	pp. 100, 325, 440
R2	CARO / audit trail	✔ Pass	Auditor confirms the audit-trail (edit log) feature operated throughout for all relevant transactions and was not tampered with (Rule 11(g)). CARO remarks not reviewed separately.	p. 325

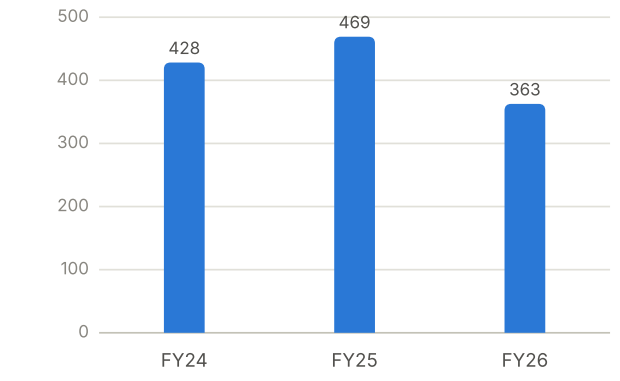
#	CHECK	RESULT	FINDING	PAGE
R3	Monitoring agency	– N.A.	Pure offer for sale; no proceeds to the company, so no monitoring agency is required.	p. 134
R4	Eligibility re-computation	○ Open		
R5	SME conditions	– N.A.	Mainboard offer under Reg 6(1).	cover
R6	Lead-manager track record	✔ Pass	Track record of JM Financial and IIFL Capital compiled from the RHP's exchange-sourced tables (see merchant banker section).	pp. 466-468
R7	Firm means of finance	– N.A.	No objects to finance.	p. 134

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

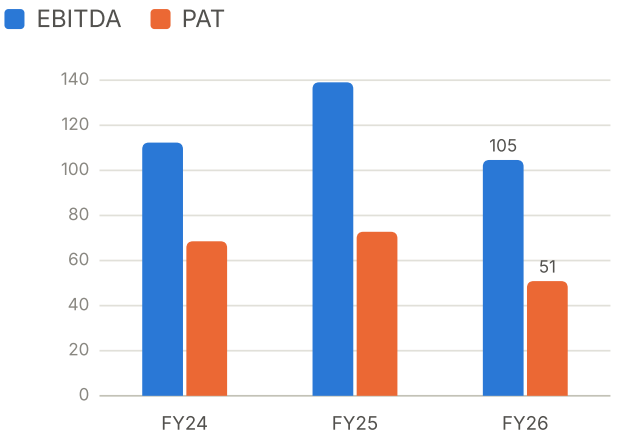
Revenue from operations

Rs crore



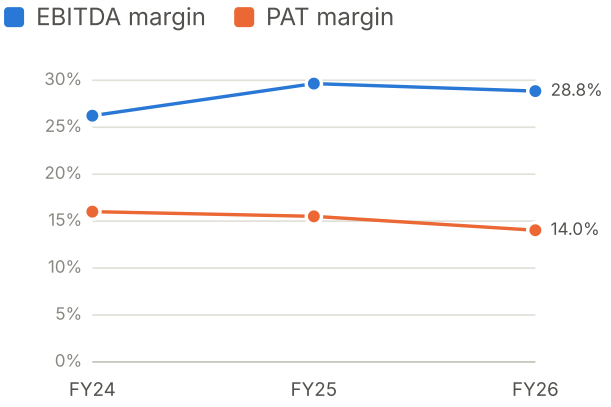
EBITDA and PAT

Rs crore



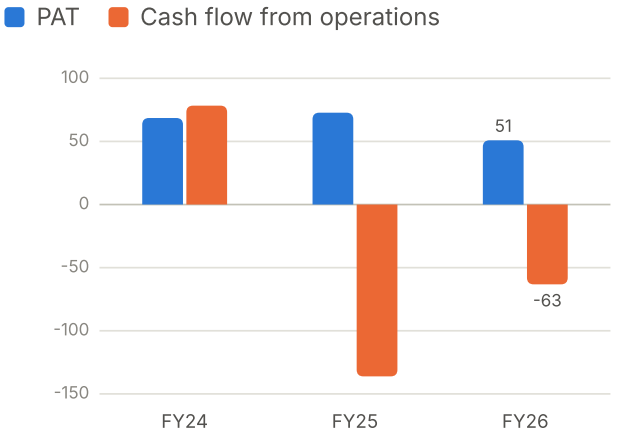
Margins

% of revenue



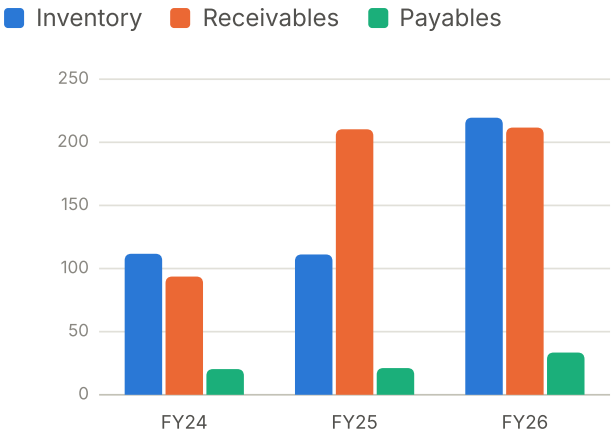
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



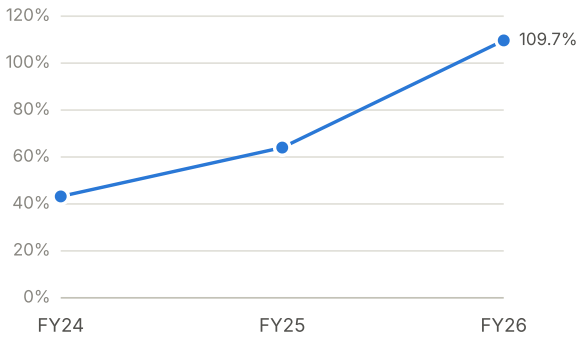
Working capital build-up

Rs crore, year end



Net working capital

% of revenue

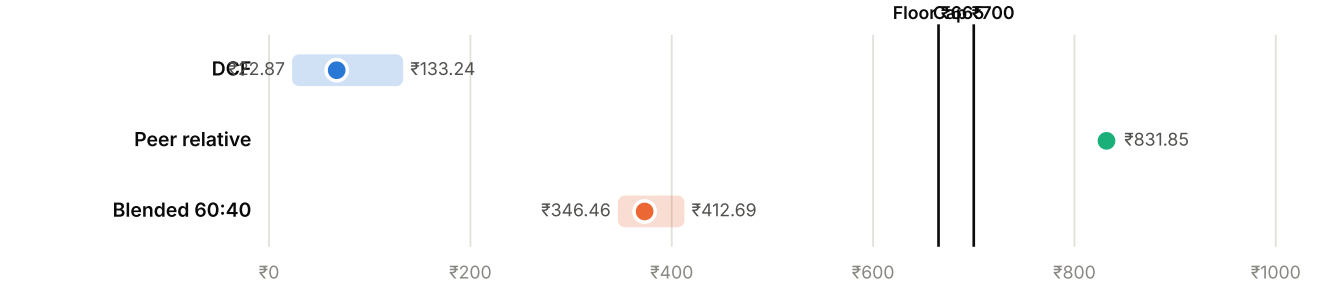


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Upper band Rs 700. At Rs 700: market cap Rs 4,009.75 cr, P/E 78.8x FY26 diluted EPS Rs 8.88, P/B 7.25x, EV/EBITDA 39.1x FY26. Pre-IPO secondary transfers to institutions on 29-30 Sep 2026 were also at Rs 700 (pp. 151-152).

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹22.87	₹831.85	**₹346.46**	-50.5%
Neutral	₹67.2	₹831.85	**₹373.06**	-46.7%
Bull	₹133.24	₹831.85	**₹412.69**	-41.0%

WACC **16.6%**

Terminal value share of EV **66.5%**

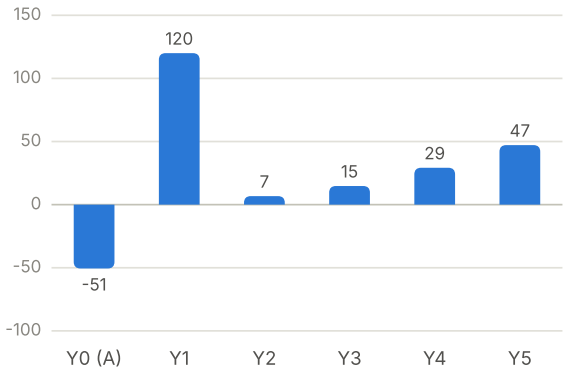
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.6%
required EBIT margin (steady state)	257.7%	20.2%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	109.7%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.

DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

WACC	Terminal growth 3.5%	4.0%	4.5%	5.0%	5.5%
14.6%	₹84.32	₹84.46	₹84.58	₹84.67	₹84.74
15.6%	₹75.35	₹75.23	₹75.08	₹74.87	₹74.61
16.6%	₹67.81	₹67.53	₹67.2	₹66.81	₹66.36
17.6%	₹61.4	₹61.01	₹60.58	₹60.08	₹59.52
18.6%	₹55.88	₹55.44	₹54.94	₹54.38	₹53.76

Below reference — Above reference

Sensitivity: working capital vs EBITDA margin

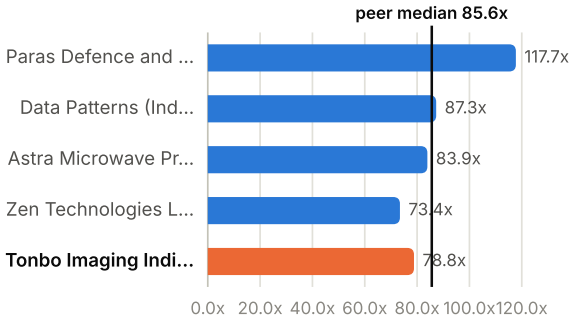
Value per share (Rs). The lever that moves value most deserves the most diligence.

NWC % rev	EBITDA margin 25.0%	26.0%	27.0%	28.0%	29.0%
69%	₹62.58	₹68.09	₹73.59	₹79.1	₹84.6
72%	₹59.38	₹64.89	₹70.39	₹75.9	₹81.41
75%	₹56.19	₹61.69	₹67.2	₹72.7	₹78.21
78%	₹52.99	₹58.5	₹64	₹69.51	₹75.01
81%	₹49.8	₹55.3	₹60.81	₹66.31	₹71.82

Below reference — Above reference

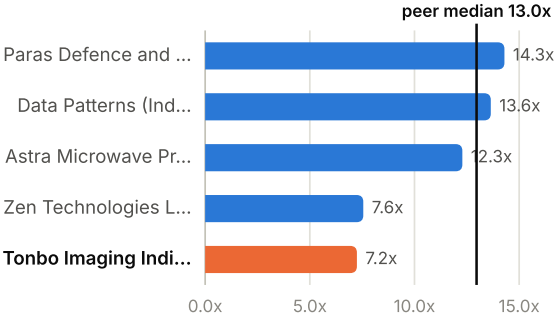
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth

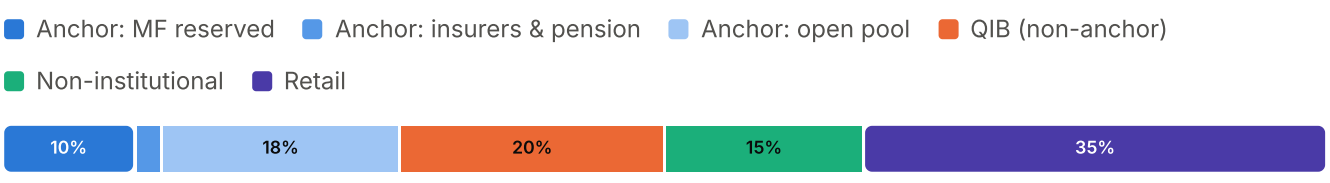


Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 851 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	18.24	30
Anchor - tranche 2	18.24	90
Pre-issue non-promoter shareholders (excl. AIFs Yali and Tenacity, and the ESOP trust)	287.07	180
Promoters' contribution incl. CEAQ Singapore shortfall shares (20% of post-issue capital)	114.56	540

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

JM Financial Limited

Listed: Yes (NSE: JMFINANCIL)
Owner: Promoted by the Kampani family: J M Financial & Investment Consultancy Services Pvt Ltd 24.77%, Nimesh Kampani 13.11%, J M Assets Management Pvt Ltd 11.36%, Aruna Kampani 2.82%, SNK Investments 1.95%, Vishal Kampani 1.36%; promoter group about 57% (June 2026)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	19	54,666
FY2025-26	27	67,532
FY2024-25	13	25,543

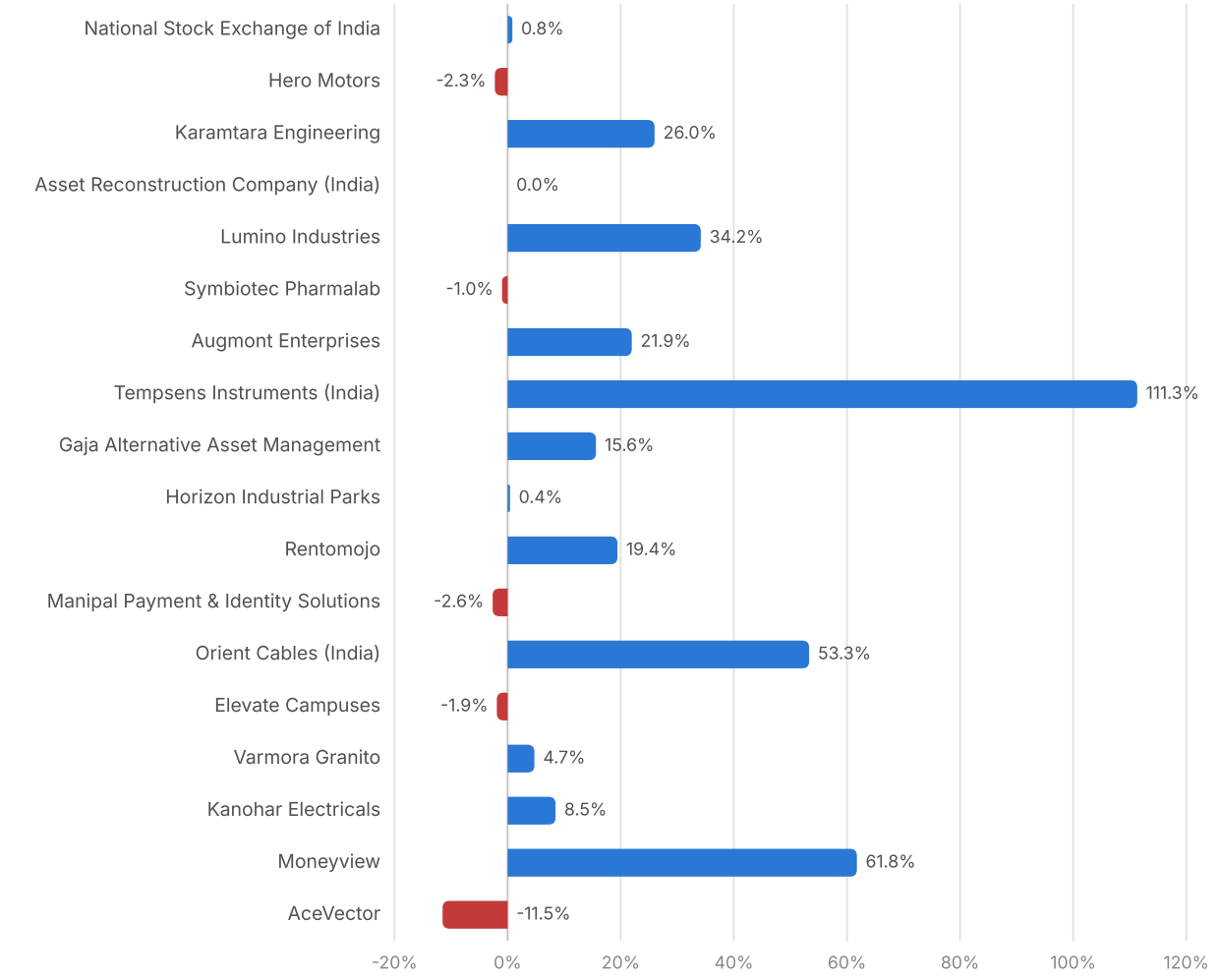
IIFL Capital Services Limited

Listed: Yes (formerly IIFL Securities Limited) - listing status per secondary sources, unverified
Owner: Promoter group led by the IIFL founders; shareholding percentages not sourced in this run

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2024-25	16	48,174
FY2025-26	29	71,009
FY2026-27	19	42,072

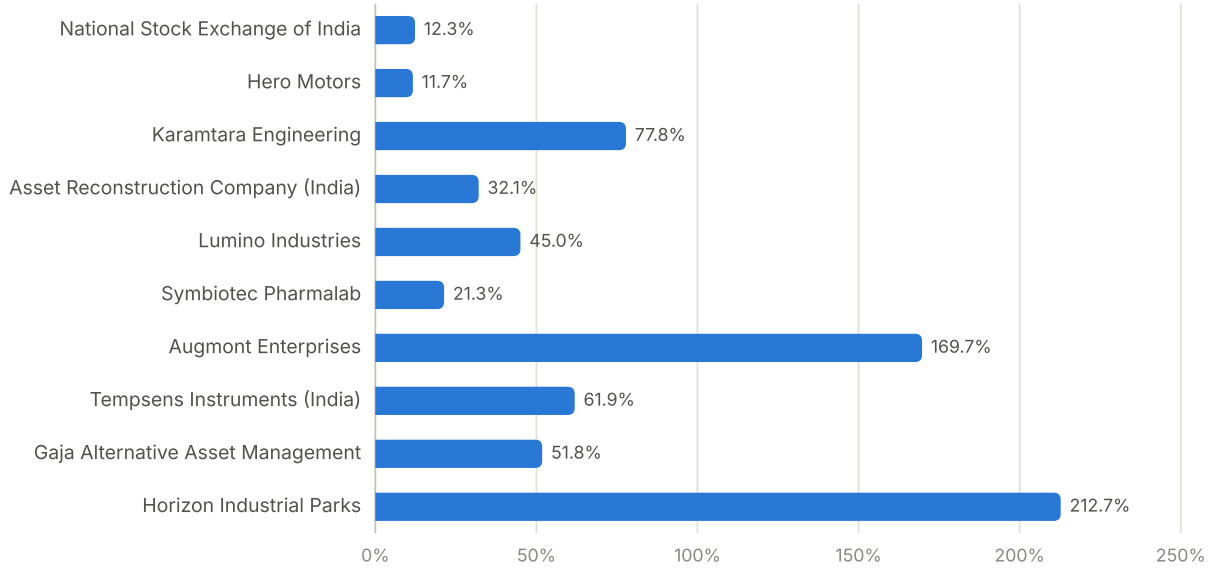
Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)



SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- 100% ownership of IP since Mar-2024 across optics, IR engines and video processing (pp. 138, 246)
- Largest supplier of thermal imaging systems to Indian government agencies Apr-24 to Mar-26; 94% of Indian thermal-imaging exports by units FY24-26 (issuer-paid F&S report, p. 246)
- 28,000+ systems deployed in 24 countries; ITAR-free portfolio (p. 246)
- Gross margin 48.6% / 56.4% / 51.1% FY24-26 (p. 144)
- Cash tax 23.3% of cumulative FY24-26 PBT; no auditor qualifications or auditor change (pp. 89, 100, 440)

WEAKNESSES

- Cumulative CFO -Rs 121.00 cr against PAT Rs 192.18 cr FY24-26 (p. 90)
- Revenue -22.69% in FY26; Q1 FY27 revenue Rs 36.01 cr and loss Rs 17.74 cr (pp. 89, 144)
- Top-10 customers 77.83% of FY26 and 98.17% of Q1 FY27 revenue (p. 24)
- Purchases from related party CEAQ Singapore Rs 78.98 cr = 26.3% of FY26 expenses (p. 94)
- Inventory Rs 319.63 cr at 30-Jun-2026 vs Rs 111.14 cr at 31-Mar-2025 (p. 87)

OPPORTUNITIES

- India EO/IR market $522 m (CY2020) to $1.4 bn (CY2030), 10.5% CAGR - issuer-paid F&S report (p. 205)
- Orders of Rs 118.15 cr received Jul-Sep 2026, incl. a Rs 51.44 cr export order deferred from FY26 (pp. 23, 250)
- Platform systems grew from Rs 12.70 cr (FY24) to Rs 144.81 cr (FY26) (p. 248)
- IDDM eligibility under DAP 2020 favours indigenous OEMs (p. 247)

THREATS

- Tender-based, non-recurring contracts; bid-win ratio 14.29% in Q1 FY27 vs 40.91% in FY24 (p. 23)
- Export orders exposed to conflicts and export approvals: foreign-government revenue Rs 267.69 cr → Rs 12.11 cr FY25-26 (p. 251)
- Singapore High Court suit by a CEAQ Singapore minority shareholder naming the company, MD and a nominee director (p. 448)
- Lock-in expiries: 287 lakh pre-issue shares (50% of capital) free after six months (p. 121)

Due-diligence note

Tonbo Imaging India Limited: RHP decision note (opening-day report)

> **Basis.** Red Herring Prospectus dated 10-Oct-2026, a 100% book-built **offer for sale** of up to 1,21,74,046 equity shares of Rs 2 (including 14,000 for employees, Rs 65 discount), with JM Financial and IIFL Capital Services as BRLMs. Price band **Rs 665-700**; lot 21 shares (Rs 14,700 at the upper band). Anchor bidding 14-Oct-2026; bid/offer **15-Oct to 19-Oct-2026**; allotment on or about 21-Oct; listing on NSE and BSE on or about **23-Oct-2026** (pp. 473; NSE issue page). Restated consolidated financials run to **30-Jun-2026** and are **111 days old** at the date of this note. FY24 is standalone because the subsidiaries were formed in FY25 (p. 245). All business figures are from the RHP; printed page numbers are cited (printed page = PDF page - 5). Subscription and anchor size are from NSE; anchor investor names are from press reports and are **unverified** (the NSE anchor allocation file could not be fetched from the cloud container).
>
> Upside is measured against the **upper band, Rs 700**, which is also the price at which institutions bought from CEAQ India and CEAQ Singapore on 29-30 Sep 2026 (pp. 151-152). Exit route assumed: 2-3 year hold. Grey market premium was seen in press coverage and set aside; it is not used. **This note is published after the book closed**; it records the Fund's view for the listing and the post-listing hold, not a bid decision.

Verdict: Avoid at Rs 700. The evidence is mixed, and the price leans on peer multiples rather than cash.

Strengths: a real technology position.

- The company owns 100% of its IP since March 2024 and designs optics, infrared engines and video electronics in-house (pp. 138, 246).
- Per the issuer-paid Frost & Sullivan report it was the largest manufacturer of thermal imaging systems for Indian government and defence agencies by sales value over Apr-2024 to Mar-2026, and shipped 94% of Indian thermal-imaging exports by units FY24-26 (p. 246).
- Gross margin held at 48.6% / 56.4% / 51.1% FY24-26 and EBITDA margin at 26.2% / 29.7% / 28.9% (p. 144). Profit is taxed: current tax is 23.3% of cumulative FY24-26 PBT (p. 89).
- Visibility improved after June: order book Rs 314.24 cr at 30-Jun-2026 plus Rs 118.15 cr of orders received July-September (p. 250).

Concerns: growth reversed, cash did not follow profit, and a related party sits on both sides.

- Revenue fell 22.69% to Rs 362.65 cr in FY26 as export revenue dropped from Rs 307.34 cr to Rs 20.21 cr; Q1 FY27 revenue was Rs 36.01 cr with a loss of Rs 17.74 cr (pp. 89, 144, 250).
- Operating cash flow was negative in FY25, FY26 and Q1 FY27; cumulative CFO/PAT FY24-26 is **-63.0%**. Trade working capital reached 109.7% of FY26 revenue (pp. 87, 90).

- CEAQ Singapore (formerly Tonbo Imaging Pte) sold the company its IP for Rs 183.19 cr in FY24, supplied Rs 78.98 cr of materials in FY26 (26.3% of total expenses), and with CEAQ India sells 91.5 lakh of the 121.7 lakh shares on offer (cover, pp. 94, 439).
- The company receives nothing from the offer (p. 134); bank debt rose to Rs 167.23 cr by 31-Aug-2026 (p. 445).

What decides it: at Rs 700 the P/E of 78.8x is within the peer range, but the peers grew revenue 11-31% in FY26 and Tonbo shrank. Our DCF, which prices cash after working capital, is Rs 67 a share; the relative value is Rs 832. The blend is Rs 373 (Neutral), **-46.7%** against the upper band. **The H1 FY27 results (revenue against the Rs 432 cr of orders, and a positive operating cash flow) will show whether the cash turn has begun.**

Snapshot

Rs crore	FY24 (standalone)	FY25	FY26	Q1 FY27 (3 months)
Revenue from operations	428.19	469.08	362.65	36.01
Growth	342.2%	9.55%	-22.69%	n.m.
Gross margin	48.64%	56.38%	51.05%	37.71%
EBITDA (issuer KPI, excl. other income)	112.32	139.06	104.62	-13.04
EBITDA margin	26.23%	29.65%	28.85%	-36.21%
PAT	68.54	72.76	50.88	-17.74
Cash flow from operations	78.33	-136.12	-63.22	-14.68
Inventory	111.69	111.14	219.49	319.63
Trade receivables	93.64	210.31	211.66	96.85
Borrowings	96.36	78.14	116.06	129.72
Net worth	230.13	490.14	553.16	538.54
ROE (issuer)	52.72%	20.20%	9.75%	-3.25% (not annualised)
ROCE (issuer, excl. intangibles)	67.76%	27.41%	14.54%	-4.31%
Working-capital days (issuer)	152	280	517	1,454

At the upper band (post-issue = pre-issue, 5,72,82,100 shares): market cap Rs 4,009.75 cr; P/E 78.8x FY26 diluted EPS (Rs 8.88), 76.2x basic (Rs 9.19); P/B 7.25x (NAV Rs 96.57); EV Rs 4,087.18 cr using FY26 net debt of Rs 77.43 cr; EV/EBITDA 39.1x FY26. Sources: pp. 87-90, 139-141, 144; our computation for the price ratios.

Business model

- **What it sells:** electro-optic and infrared systems for defence and security: thermal weapon sights, hand-held thermal binoculars, imaging cores, targeting and fire-control systems, missile seekers and stabilised gimbal payloads (p. 246). Tactical systems (soldier-carried sights) were 58.37% of FY26 revenue (Rs 211.68 cr), platform systems (payloads for remote weapon stations, vehicles, loitering munitions, balloons) 39.93% (Rs 144.81 cr), up from Rs 12.70 cr in FY24 (p. 248). Directed-energy systems are in development with no revenue yet.

- **Who buys it:** in FY26 the Indian Government was 71.19% of revenue, private system integrators 24.10% and foreign governments 3.34%; in FY25 foreign governments were 57.07% (pp. 250-251). One customer was the largest in FY24 and FY25 (44.11% and 57.07%) but not in FY26; customer names are withheld for confidentiality (p. 24).
- **How it earns:** competitive tenders, typically short-term and non-recurring, priced in advance with limited scope to reset for input-cost changes (p. 23). Bid-win ratio 40.91% (FY24), 35.94% (FY25), 34.35% (FY26), 14.29% in Q1 FY27 on 14 bids (p. 23).
- **What it owns vs outsources:** an asset-light model. It owns IP and an R&D centre in Bengaluru with 130 engineers (339 employees in all), prototypes in-house, and outsources volume manufacturing to EMS partners including Kaynes Technology and Avalon Technology under non-exclusive purchase orders (pp. 54, 251). Key inputs include imported infrared detectors (Lynred and SCD are among the top-10 suppliers named, p. 25).
- **Selling into export markets:** completely-knocked-down kits, cores and white-labelling by local OEMs so the final product qualifies as domestically made in the buyer's country (p. 232).

Stage of the business

Classification: early growth, tender-driven and lumpy.

Evidence	Reading
Revenue Rs 96.83 cr (FY23, implied by the 342.2% FY24 growth) to Rs 428.19 cr in FY24, then Rs 469.08 cr and Rs 362.65 cr	Step changes driven by single large export contracts, not a steady compounding base
Margin trend: EBITDA 26-30% in each full year	Pricing power at product level is intact
Capex vs depreciation: FY26 capex Rs 39.35 cr vs D&A Rs 31.34 cr (most of D&A is amortisation of the Rs 183.19 cr IP)	Low physical capital need; the "capex" was the IP purchase
Free cash flow: negative in FY25, FY26 and Q1 FY27	Growth and the export reversal have been funded with working capital and bank debt
Reinvestment: trade working capital rose from Rs 184.98 cr to Rs 397.71 cr FY24-26	Each rupee of revenue currently ties up about a rupee of working capital
Market share: largest Indian supplier of thermal imaging to government (issuer-paid report)	Position strong in a small niche

What the stage means: for an early-growth company with negative free cash flow, the DCF is sensitive to the assumed working-capital release, and peer multiples set on mature, cash-generating defence companies overstate value. We keep the house 60:40 blend because listed peers exist, but report the DCF-relative divergence as the main finding. Risk is concentrated in order timing and in collection from a few buyers.

Industry analysis

Source: "Assessment of Global and Indian Defence Electronics and Technology Industry" by Frost & Sullivan (India), **commissioned and paid for by the issuer** for this offer (p. 245). Treat its estimates accordingly.

- **Market size:** global military expenditure USD 3,362.2 bn in CY2025, projected to USD 4,410.9 bn by CY2030 (5.6% CAGR); Europe is the fastest-growing region at 7.5% (p. 161 onwards). India's EO/IR market is put at USD 522 m in CY2020 rising to USD 1.4 bn by CY2030, a 10.5% CAGR (p. 205).

- **Structure:** Indian EO/IR is led by the PSU Bharat Electronics, with Alpha Design, Paras Defence, HAL and L&T as integrators or competitors in parts of the stack (pp. 237-240). Globally the field includes US, European and Israeli primes whose products are often ITAR-restricted; Tonbo positions its ITAR-free portfolio against them (p. 246).
- **Unnamed competition:** import substitutes from Israeli and European OEMs through Indian partners, and in-house development by DRDO labs (IRDE) that can be transferred to other production agencies (p. 231). The document does not quantify Tonbo's share of the total Indian EO/IR market.
- **Regulation:** DAP 2020 favours "Indigenously Designed, Developed and Manufactured" (IDDM) vendors, which requires Indian control and at least 50% indigenous content (p. 247). Exports need government authorisation and depend on foreign buyers' approvals.
- **Cyclicality:** procurement is episodic. The RHP links FY26's decline to delays in international orders from the West Asia conflict and to orders deferred from FY26 to FY27 (p. 22). Emergency procurement can lift demand sharply and then fall away (p. 21).
- **Peer growth for context (FY26):** Paras Defence +30.69%, Data Patterns +30.55%, Astra Microwave +10.62%, Zen Technologies -29.37%, BEL +16.16% (p. 146).

Future prospects

- **Contracted:** Rs 314.24 cr order book at 30-Jun-2026 (36 orders: domestic Rs 231.87 cr, overseas Rs 82.37 cr; platform Rs 198.35 cr, tactical Rs 115.43 cr), plus Rs 118.15 cr received July-September 2026 (p. 250). Together about Rs 432.39 cr, or 1.19x FY26 revenue, before Q2 execution. It includes a Rs 51.44 cr export order deferred from FY26 (p. 23).
- **Capacity:** no capacity constraint is disclosed; production is outsourced, so growth depends on order wins and component supply, not on capex. There is no fresh issue, so nothing new is funded by this offer.
- **New products:** platform systems and missile seekers are the growth line (Rs 12.70 cr FY24 to Rs 144.81 cr FY26); directed-energy systems are pre-revenue (p. 248). Patents: five granted in the US, four applications pending (p. 232).
- **What management states:** the RHP attributes FY26 to timing, not loss of customers, and expects the deferred export order in FY27 (p. 23). It gives no revenue guidance.
- **Three-year path (our scenarios, revenue Rs crore):**

	FY27	FY28	FY29	Driver
Bear	398.9	430.8	461.0	Slow conversion; win ratio stays near Q1 FY27
Neutral	453.3	544.0	641.9	FY27 back near FY25; order inflow at the FY26 rate
Bull	507.7	660.0	825.0	Full conversion of the book plus export recovery

What has to go right: delivery of the Rs 432 cr of orders without further deferrals, collection of the inventory built in Q1 (Rs 319.63 cr), and a recovery in export wins. **What is already contracted:** about one year of FY26-level revenue.

Peer comparison (P2P)

Peers are those in the RHP's "Basis for Offer Price"; prices are BSE closes on 07-Oct-2026 and figures are FY26 (pp. 141, 146-147). P/E, P/B and the issuer row at the upper band are as printed or our computation from them. EV/EBITDA for peers is not computed because the document gives no share counts or net debt (gap).

Company	CMP (Rs)	Revenue FY26 (Rs cr)	Rev. growth FY26	EBITDA margin	PAT margin	ROE	P/E	P/B
Paras Defence and Space Technologies	1,286.95	476.57	30.69%	26.00%	18.16%	NA	117.7x	14.3x
Data Patterns (India) (standalone)	4,231.00	924.77	30.55%	40.12%	28.48%	17.00%	87.3x	13.6x
Astra Microwave Products	1,701.15	1,162.80	10.62%	28.70%	16.60%	NA	83.9x	12.3x
Zen Technologies	1,580.35	687.69	-29.37%	48.37%	28.19%	NA	73.4x	7.6x
Bharat Electronics (excluded on scale)	378.85	27,610.11	16.16%	NA	21.52%	NA	45.7x	11.5x
Tonbo Imaging at Rs 700	700	362.65	**-22.69%**	28.85%	13.75%	9.75%	**78.8x**	**7.2x**
Peer median (four included)			20.6%	34.4%	23.2%		85.6x	13.0x

Read: Tonbo is priced at a modest discount to the peer median on P/E (78.8x vs 85.6x) and at about half the peer P/B. On fundamentals it trails: revenue fell while the median peer grew 20.6%, PAT margin is 13.75% against a 23.2% median, and FY26 ROE was 9.75% against Data Patterns' 17.00%. Zen Technologies is the only peer that also shrank in FY26, and it trades at the low end of the group. The discount on P/E is therefore smaller than the gap in growth and returns. The relative value of Rs 832 is an upper marker; it applies the median peer multiples to Tonbo's earnings and book without adjusting for its lower growth.

Financials and key findings

Positives	Concerns
Gross margin 51.05% and EBITDA margin 28.85% in FY26 despite the revenue fall (p. 144)	Revenue -22.69% in FY26; Q1 FY27 loss Rs 17.74 cr (pp. 89, 144)
Current tax 23.3% of cumulative PBT; deferred tax small (p. 89)	Cumulative CFO -Rs 121.00 cr against PAT Rs 192.18 cr FY24-26 (p. 90)
No auditor qualifications, no auditor change, audit trail operated (pp. 100, 325, 440)	Inventory nearly tripled from Rs 111.14 cr (Mar-25) to Rs 319.63 cr (Jun-26) (p. 87)
Orders of Rs 118.15 cr received Jul-Sep 2026 (p. 250)	Borrowings Rs 129.72 cr at Jun-26 and Rs 167.23 cr at Aug-26, with promoter personal guarantees (pp. 87, 445)

Positives	Concerns
No criminal or regulatory proceedings against the company (p. 448)	Intangibles Rs 162.70 cr = 29.4% of FY26 net worth, mostly IP bought from a related party (p. 87)
Board chaired by an independent director; three independents of nine (p. 300)	Promoters hold 18.57% before and 14.56% (with promoter group) after the offer; CEAQ Singapore makes up the minimum promoter contribution (pp. 119, 124)

Working capital is the core finding. Trade working capital (inventory + receivables - trade payables) was Rs 184.98 cr, Rs 300.31 cr and Rs 397.71 cr FY24-26, i.e. 43.2%, 64.0% and 109.7% of revenue. Revenue fell by Rs 106.43 cr in FY26 while trade working capital rose by Rs 97.39 cr. The Q1 FY27 inventory build of Rs 100.15 cr is explained as stock bought ahead of FY27 orders and for deferred export orders (p. 25).

DCF valuation

Inputs (FY26, Rs crore): revenue 362.65; EBITDA 104.62; D&A 31.34; PAT 50.88; net worth 553.16; net debt 77.43 (borrowings 116.06 less cash 16.18 and other bank balances 22.45); trade NWC 397.71 (FY25 300.31); capex 39.35. No fresh issue: shares are unchanged at 5.72821 crore and no proceeds are credited.

Cost of capital (house CAPM build, editable in the workbook): risk-free 6.5%, beta 1.10, equity risk premium 7.0%, size premium 2.0% and a company-specific premium of 3.0% (our judgment, for customer concentration, tender lumpiness and related-party dealings). Cost of equity 19.2%; pre-tax cost of debt 8.5% (the RHP's range is 7.50-8.80%, p. 445); debt weight 20%; **WACC 16.63%**. Terminal growth 4.50%.

Five-year free cash flow (Neutral, Rs crore):

	FY26 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	-22.7%	25%	20%	18%	15%	12%
Revenue	362.65	453.31	543.97	641.89	738.17	826.75
EBITDA (27%)	104.62	122.39	146.87	173.31	199.31	223.22
NOPAT	54.84	62.28	74.73	88.18	101.41	113.58
Trade NWC (75% of revenue)	397.71	339.98	407.98	481.42	553.63	620.06
Free cash flow to firm	-50.57	120.00	6.74	14.75	29.20	47.15

Year 1 benefits from the assumed fall in working capital from 109.7% to 75% of revenue; after that, growth absorbs most of NOPAT. Terminal value is 66.5% of enterprise value (guard: OK). Terminal reinvestment is g / ROIC with ROIC 14% (Neutral).

Rs per share	Bear	Neutral	Bull
DCF	22.87	67.20	133.24
Relative (P/E 40%, EV/EBITDA 40%, P/B 20% weights; peers per share, so P/E and P/B drive it; 10% discount)	831.85	831.85	831.85
Blended (60:40 DCF:relative)	346.46	373.06	412.69
Against Rs 700 (upper band)	-50.5%	-46.7%	-41.0%
Against Rs 665 (floor)	-47.9%	-43.9%	-37.9%

- **Scenario drivers:** year-1 growth 10% / 25% / 40% falling to 5% / 12% / 15% in year 5; EBITDA margin 22% / 27% / 30%; trade NWC 95% / 75% / 55% of revenue; terminal ROIC 10% / 14% / 18%. Rationale and page cites are in the valuation workbook.
- **Sensitivity (Neutral DCF, Rs per share):** WACC 14.6% to 18.6% moves value from Rs 84.6 to Rs 54.9; terminal growth 3.5-5.5% moves it by less than Rs 1. Working capital matters more: NWC at 69% of revenue with a 29% margin gives Rs 84.6; NWC 81% with a 25% margin gives Rs 49.8. **Working-capital intensity, not the discount rate, is the dominant lever.**
- **Guards:** the DCF-relative divergence is **-91.9%** (AMBER). Its cause: the relative method prices reported earnings at peer multiples, while the DCF prices free cash flow, which has been negative because working capital absorbed the profit. In the Neutral case terminal ROIC (14%) is below WACC (16.63%) (RED): on current returns, growth does not create value. FY26 ROCE was 14.54% on the issuer's own definition, which excludes the purchased intangibles (p. 144).
- **Reverse DCF at Rs 700:** current free cash flow is negative (-Rs 50.57 cr), so **no multiple can be stated and the entire price rests on a turn that has not yet begun.** One lever at a time: implied growth and implied WACC are not meaningful on negative FCF; the steady-state EBIT margin required at the current NWC intensity is about 258% against 20.2% actual (unreachable); and no level of working capital reaches the price unless working capital turns negative (unreachable). **In plain words: the price needs both working capital to fall far below today's level and margins to hold, at the same time.**

Management and governance

- **Promoters:** Arvind Kondangi Lakshmikumar (MD & CEO, with the company since 2005, M.E. BITS Pilani), Ankit Kumar (Executive Director, Chief Business and Revenue Officer, B.Tech IIIT Hyderabad) and Cecilia D'Souza (Executive Director, Chief Commercial Officer, chartered accountant). All three have run the business since its 2012 buy-out from the research parent (pp. 247, 303). Their combined holding is 17.43% (8.67% / 5.30% / 3.45%) pre-offer, 14.01% after selling 19.60 lakh shares (pp. 124-126).
- **Board:** nine directors: three executive, three nominee (CEAQ Singapore, HBL Engineering, Florintree) and three independent, with an independent chairperson (Sonal Shrivastava, former group CFO of Vedanta) (pp. 300-302). All three independent directors joined on 29-Sep-2025, so none has served a full audited year before FY26 (p. 307).
- **Possible conflict:** nominee director Mathew Cyriac (Florintree) is also a director of Data Patterns (India), a listed peer used in the Basis for Offer Price, and of ideaForge Technology (pp. 301-302).
- **Remuneration:** FY26 executive pay Rs 5.21 cr in all (Ankit Kumar Rs 2.81 cr, Cecilia D'Souza Rs 1.39 cr, Arvind Lakshmikumar Rs 1.00 cr) = 10.2% of FY26 PAT. New terms from Dec-2025: MD Rs 3.08 cr fixed; Ankit Kumar Rs 1.54 cr fixed plus up to Rs 1.50 cr bonus; Cecilia D'Souza Rs 1.54 cr (pp. 304-305). Contracted pay is higher than FY26 pay drawn by the MD; the Bear case should carry the full entitlement.
- **Key managerial personnel:** CFO T. S. Sivashankar (since Oct-2023, IIT Madras, IIM Lucknow, ex-Citibank and Arpwood) holds 1.05%; company secretary since Jan-2024 (p. 315). Employee attrition 7.71% in FY26; no KMP or senior-management attrition (p. 51).
- **Shareholders and the offer:** CEAQ Singapore 25.47% and CEAQ India 8.73% (both formerly Tonbo Imaging entities), HBL Engineering 14.25%, Florintree 5.17%, Amansa 4.25% (p. 127). In the OFS CEAQ India sells its entire holding (49.98 lakh shares at nil cost, bonus shares) and CEAQ Singapore 41.55 lakh (WACA Rs 0.27); promoters sell at WACA nil to Rs 33.91 (cover). HBL Engineering does not sell. CEAQ Singapore contributes the shares needed to make up the 20% minimum promoter contribution, locked for 18 months, without being classed as a promoter (pp. 119-120).
- **Related parties in full:** IP purchase from CEAQ Singapore Rs 183.19 cr (FY24), priced on a DCF (multi-period excess earnings, 10-year life) and paid in instalments to FY26; continuing material purchases from

CEAQ Singapore Rs 48.82 cr / Rs 43.98 cr / Rs 78.98 cr FY24-26 and Rs 17.20 cr in Q1 FY27; FY24 sales of Rs 41.68 cr to, and purchases of Rs 68.42 cr from, HBL Engineering; lease rent to the MD (pp. 94-95, 439). Related-party purchases exceed the 2% threshold in every period.

- **Litigation:** no criminal or regulatory proceedings against the company. A minority shareholder of CEAQ Singapore has filed a suit in the Singapore High Court against CEAQ Singapore, the company, the MD and nominee director Amit Dilip Shah, claiming he should have been offered the 2024 preference shares; papers not yet served (pp. 448-451). Tax: GST disputes Rs 0.83 cr and a customs notice dated 23-Jul-2026 (amount not stated) (p. 92).
- **Auditor:** Kalyanasundaram and Associates (FRN 005455S), no change in three years, no qualifications or emphasis of matter; audit-trail compliance confirmed (pp. 100, 325, 440). The firm's size relative to a Rs 4,000 cr listed company was not assessed (gap).
- **Banking:** facilities secured by hypothecation, fixed deposits, promoter non-disposal undertakings and **promoter personal guarantees**; ECLGS term loans guaranteed by the Government of India (p. 445). The OFS does not release these.

Governance read. Comfort: an independent chair, a reputable CFO, three institutional nominee directors, clean audit reports and no regulatory actions. Watch: related-party dealings with the former parent, which is also the largest seller and the provider of locked-in promoter contribution; a nominee director who also sits on a listed competitor's board; independent directors with only a year's tenure; and promoter pay that is set to rise.

SWOT

Strengths	Weaknesses
100% ownership of IP since Mar-2024 across optics, IR engines and video processing (pp. 138, 246)	Cumulative CFO -Rs 121.00 cr against PAT Rs 192.18 cr FY24-26 (p. 90)
Largest supplier of thermal imaging to Indian government agencies; 94% of Indian thermal-imaging exports by units (issuer-paid report, p. 246)	Revenue -22.69% in FY26; Q1 FY27 revenue Rs 36.01 cr, loss Rs 17.74 cr (pp. 89, 144)
28,000+ systems in 24 countries; ITAR-free (p. 246)	Top-10 customers 77.83% of FY26 and 98.17% of Q1 FY27 revenue (p. 24)
Gross margin 48.6% / 56.4% / 51.1% FY24-26 (p. 144)	Purchases from related party CEAQ Singapore 26.3% of FY26 expenses (p. 94)
Cash tax 23.3% of PBT; clean audit reports (pp. 89, 440)	Inventory Rs 319.63 cr at Jun-26 vs Rs 111.14 cr at Mar-25 (p. 87)

Opportunities	Threats
India EO/IR market USD 522 m to USD 1.4 bn, CY2020-30, 10.5% CAGR (issuer-paid report, p. 205)	Tender-based, non-recurring contracts; bid-win ratio 14.29% in Q1 FY27 vs 40.91% in FY24 (p. 23)
Orders of Rs 118.15 cr received Jul-Sep 2026, incl. a Rs 51.44 cr deferred export order (pp. 23, 250)	Foreign-government revenue fell from Rs 267.69 cr to Rs 12.11 cr FY25-26 (p. 251)
Platform systems Rs 12.70 cr to Rs 144.81 cr FY24-26 (p. 248)	Singapore suit naming the company, MD and a nominee director (p. 448)
IDDM preference under DAP 2020 (p. 247)	287 lakh pre-issue shares (50% of capital) leave lock-in after six months (p. 121)

Moat

- **Intellectual property and know-how:** owned IP in thermal cores, image processing and stabilisation, 130 R&D engineers and US patents (pp. 232, 251). Durable as long as R&D keeps pace; evidence is the product benchmark against two unnamed Indian competitors (Spartan-S sight at 280 g against about 800-900 g, p. 232), which is the issuer's own comparison.
- **Qualification and track record:** field-proven deployments and approvals with the Indian Army, NATO buyers and others are slow for new entrants to replicate (p. 231). Moderately durable, but tenders are re-competed each time and the bid-win ratio fell to 14.29% in Q1 FY27.
- **Policy preference:** IDDM status favours indigenous OEMs (p. 247); this is shared with every Indian competitor and is not specific to Tonbo.
- **What is missing:** no recurring revenue, no long-term contracts with customers or suppliers, and a dependence on imported detectors (p. 25). **The moat is technical and narrow; it has not yet shown up as cash.**

The offer, objects and anchor book

- **Structure:** offer for sale only, Rs 852.18 cr at the upper band; the company receives nothing (pp. 84, 134). Net offer to QIBs up to 50%, NIIs at least 15%, retail at least 35% (p. 84). Sellers: CEAQ India 49.98 lakh shares, CEAQ Singapore 41.55 lakh, promoters 19.60 lakh, Vinimaya (promoter group) 3.40 lakh, other investors 5.71 lakh (cover).
- **Objects arithmetic:** not applicable; no objects price floor.
- **Anchor book:** 36.48 lakh shares at Rs 700 = **Rs 255.36 cr**, derived from NSE data (121.74 lakh offered less 85.26 lakh to the public). Press reports (unverified) state 43 anchor investors, of which 12 domestic mutual fund schemes took 21.05 lakh shares (57.7%) and life insurers about 7.8%; foreign names reported include Goldman Sachs and BlackRock. The anchor price is the same as the September secondary price. Lock-in: half for 30 days, half for 90 days from allotment.
- **Subscription at close (NSE, 19-Oct-2026 17:57 IST):** QIB 293.56x, NII 170.94x (above Rs 10 lakh 184.73x; Rs 2-10 lakh 143.37x), retail 31.07x, employees 54.31x; total 135.90x. This is information about allotment and listing-day supply, not about value.
- **Free float and supply calendar (our computation from pp. 119-121):** at listing about 85.26 lakh shares sold to the public plus about 49.45 lakh pre-issue shares not under lock-in (AIFs Yali Deeptech and Tenacity, and the ESOP trust); anchor 18.24 lakh at day 30 and 18.24 lakh at day 90; about 287.07 lakh pre-issue non-promoter shares at six months; the 114.56 lakh promoter contribution (incl. CEAQ Singapore's shortfall shares) at 18 months. The six-month release is about half the company's share capital.

Forensic scorecard

#	Check	Status	Finding
1	Bonus issue and share count	PASS	19:1 bonus (Jun-2025) and split to Rs 2 reflected in EPS and NAV (pp. 126, 139)

#	Check	Status	Finding
2	Cash flow vs PAT	FAIL	Cumulative CFO/PAT FY24-26 -63.0%; CFO negative in FY25, FY26, Q1 FY27 (p. 90)
3	Current vs deferred tax	PASS	Current tax 23.3% of cumulative PBT (p. 89)
4	Related-party capex and flows	FAIL	IP Rs 183.19 cr from CEAQ Singapore capitalised; CEAQ purchases 26.3% of FY26 expenses (pp. 94, 439)
5	Objects as price floor	N.A.	Pure OFS
6	Revaluation reserve	n.r.	Not reviewed (gap)
7	Goodwill and intangibles	WATCH	No goodwill; intangibles 29.4% of net worth (p. 87)
8	Concentration	WATCH	Top-10 customers 77.83% (FY26), 98.17% (Q1); Indian Government 71.19%; top-10 suppliers 68.77% of expenses (pp. 24-25, 250)
9	Contingent liabilities	WATCH	Bank guarantees Rs 78.93 cr (14.7% of net worth); customs notice unquantified (p. 92)
10	Investor presentation	N.A.	Not reviewed
R1	Auditor	PASS	No change, no qualifications, audit trail confirmed (pp. 100, 325, 440)
R5	Eligibility	N.A.	Reg 6(1) mainboard
R6	BRLM track record	PASS	Compiled below from the RHP

Merchant banker(s)

JM Financial Limited (listed; promoted by the Kampani family, promoter group about 57% per secondary sources, unverified) and **IIFL Capital Services Limited** (formerly IIFL Securities; listed; promoter group led by the IIFL founders per secondary sources, holding not sourced in this run). Year-wise summaries from the RHP (pp. 466-468):

BRLM	Year	IPOs	Raised (Rs cr)	Day-30: discount / premium	Day-180: discount / premium
JM Financial	FY25	13	25,543.41	5 / 8	5 / 7
JM Financial	FY26	27	67,532.42	12 / 15	12 / 15
JM Financial	FY27 to date	19	54,665.97	5 / 8	n.a.
IIFL Capital	FY25	16	48,173.72	1 / 15	2 / 14
IIFL Capital	FY26	29	71,009.10	11 / 18	12 / 16
IIFL Capital	FY27 to date	19	42,072.12	4 / 4	0 / 1

Most recent issues (as printed; listing gain is our computation against issue price on the opening price of the designated exchange):

Issue	BRLM	Listed	Size (Rs cr)	Issue price	Opening	Listing gain	Day 30
Orient Cables (India)	JM, IIFL	05-Oct-2026	552.00	272	417 (JM table) / 450 (IIFL table)	+53.3% / +65.4%	n.a.
AceVector	IIFL	05-Oct-2026	420.00	32	28.32	-11.5%	n.a.
Moneyview	IIFL	01-Oct-2026	1,091.68	34	55.00	+61.8%	n.a.
Elevate Campuses	JM, IIFL	30-Sep-2026	2,100.00	362	355.10	-1.9%	n.a.
Varmora Granito	JM	29-Sep-2026	708.02	148	155.00	+4.7%	n.a.
National Stock Exchange of India	JM, IIFL	24-Sep-2026	22,561.57	1,785	1,800.00	+0.8%	n.a.
Hero Motors	JM	23-Sep-2026	1,000.00	84	82.10	-2.3%	n.a.
Karamtara Engineering	JM, IIFL	17-Sep-2026	875.00	254	320.00	+26.0%	n.a.
Asset Reconstruction Co. (India)	JM, IIFL	17-Sep-2026	732.97	139	139.00	0.0%	n.a.
Rentomojo	IIFL	17-Sep-2026	1,255.57	404	482.45	+19.4%	n.a.
Manipal Payment & Identity Solutions	IIFL	17-Sep-2026	805.00	339	330.00	-2.7%	n.a.
Kanohar Electricals	IIFL	16-Sep-2026	1,055.74	632	685.50	+8.5%	n.a.
Lumino Industries	JM	03-Sep-2026	700.00	82	110.00	+34.1%	+17.66%
Symbiotec Pharmalab	JM	01-Sep-2026	1,757.00	988	978.20	-1.0%	+19.03%
Augmont Enterprises	JM	31-Aug-2026	825.00	788	961.00	+22.0%	+34.80%

The two BRLM tables in the same RHP print different listing-day opening prices for Orient Cables (Rs 417 and Rs 450); both cite NSE. Current share prices and the issuers' revenue and PAT growth were not sourced in this run (gap). **Neutral read:** both are large, established mainboard managers with frequent issues; most recent issues opened at or above the issue price, with a minority below. The track record bears on book-building and aftermarket support, not on Tonbo's business.

What would change our view

These conditions can be checked in the first two quarterly results after listing:

- **Cash:** operating cash flow positive for H1 FY27, and cumulative CFO/PAT (FY25 to H1 FY27) above zero.
- **Working capital:** inventory below Rs 220 cr (the Mar-26 level) by 31-Mar-2027 and trade working capital below 75% of FY27 revenue.
- **Execution:** H1 FY27 revenue at or above Rs 180 cr, with the deferred Rs 51.44 cr export order delivered.
- **Orders:** order book at or above Rs 400 cr at 30-Sep-2026, and a bid-win ratio back above 30%.

- **Related party:** purchases from CEAQ Singapore falling below 10% of expenses, or a disclosed arm's-length pricing basis.
- **Price:** at the Neutral blended value of Rs 373, upside would be zero; a price near Rs 400-450 would bring the call to Neutral on the current numbers.

Risks

- Lumpy, tender-based revenue and order deferrals (pp. 21-23).
- Customer concentration: one customer was 54.74% of Q1 FY27 revenue (p. 24).
- Dependence on imported infrared detectors and on suppliers without long-term contracts (p. 25).
- Export approvals and geopolitics: exports fell from 65.52% to 5.57% of revenue in one year (p. 144).
- Related-party dependence on CEAQ Singapore for materials (p. 94).
- Working capital funded by short-term bank debt with promoter guarantees (p. 445).
- Singapore litigation involving the company, MD and a nominee director (p. 448).
- Supply overhang at six months (about half the share capital) and at 18 months (p. 121).
- Post-listing price risk after a 136x book; demand at the IPO says nothing about the price two years out.

Data gaps

Item	Severity	Where to source
Anchor allocation report (investor-wise list): nsearchives.nseindia.com not reachable from the cloud container; names from press reports	Medium	NSE / BSE anchor filing
Contingent liabilities at FY24-FY26 year ends; customs notice of 23-Jul-2026 not quantified	Medium	RHP note 40 / issuer
Identity of the largest customer (54.74% of Q1 FY27 revenue)	Medium	Issuer (withheld for confidentiality)
Peer share counts and net debt for EV/EBITDA	Low	Exchange filings
Current prices, revenue and PAT growth of the BRLMs' recent issues	Low	Exchange filings
Final offer price and lock-in table	Low	Prospectus
Revaluation reserve and other-equity detail	Low	RHP
Auditor firm size relative to the issuer	Low	ICAI / firm

Verification

- **Restated P&L reproduces:** FY26 expenses sum to Rs 2,999.81 m (printed 2,999.80); total income less expenses gives PBT Rs 699.59 m; less current tax Rs 170.62 m and deferred tax Rs 20.16 m gives PAT Rs 508.81 m (printed 508.80) (p. 89).
- **EBITDA** reproduces the KPI table: PBT + finance cost + D&A - other income = Rs 1,046.19 m for FY26 (p. 144).

- **Balance sheet** balances: FY26 total assets Rs 7,824.98 m = equity Rs 5,531.59 m + liabilities Rs 2,293.39 m (pp. 87-88).
- **Cash flow:** FY26 operating, investing and financing (-632.16, -322.65, +321.90) sum to the -632.91 change in cash (p. 90).
- **Gross margin:** (revenue - materials - change in inventories) / revenue = 51.05% for FY26, as printed.
- **Anchor size** is derived from NSE's shares-offered figure; the investor count and MF split are from press reports and are unverified.
- **Merchant-banker figures** are as printed in the RHP (pp. 466-468); listing gains are our computation.
- **Workbooks:** the toolkit verification gate is run on every build (see the PR).

Disclaimer and disclosures

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Disclaimer and disclosures

This material is published by Parshwanath Capital Ventures Fund, a Category III Alternative Investment Fund registered with the Securities and Exchange Board of India (SEBI) under the SEBI (Alternative Investment Funds) Regulations, 2012, Registration No. IN/AIF3/25-26/2108. Fund Manager: CA Deep Dalal. Sponsor: Jignesh Shah.

This material is for information and educational purposes only. It does not constitute an offer, invitation, solicitation or recommendation to buy, sell, subscribe to or bid for any security, and it is not investment advice within the meaning of the SEBI (Investment Advisers) Regulations, 2013 or a research report within the meaning of the SEBI (Research Analysts) Regulations, 2014. Calls such as 'Subscribe', 'Neutral', 'Avoid' or 'Screen only' record the Fund's internal analytical view of an offer document and are not a recommendation to any reader.

Units of the Fund are offered only on a private placement basis to eligible investors through the Fund's Private Placement Memorandum, in accordance with the SEBI (Alternative Investment Funds) Regulations, 2012. Nothing in this material is, or should be construed as, a solicitation of investment in the Fund.

The analysis is based on offer documents (DRHP / RHP / prospectus) filed with SEBI and the stock exchanges and on other publicly available information. Figures from sources other than the offer document are identified as such and have not been independently verified. Valuation models, scenarios and projections are illustrative, depend on stated assumptions, and are not forecasts or assurances of future performance. No representation or warranty is given as to accuracy or completeness, and the Fund, its Manager, Sponsor, employees and associates accept no liability for any loss arising from the use of this material.

Disclosure of interest: the Fund, its Manager, Sponsor and their associates may apply for, bid in (including as Anchor Investor or Qualified Institutional Buyer), hold, buy or sell securities of any issuer discussed, before or after publication, and may act in a manner inconsistent with the views expressed here.

Investors should rely on their own examination of the offer document, including its risk factors, and consult their own financial, legal and tax advisers before making any investment decision. Past performance, including of any issuer or lead manager, is not indicative of future results.

Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

Registration granted by SEBI in no way guarantees performance of the Fund or its Manager or provides any assurance of returns to investors.

Investor grievances: fundmanager@parshwanath.in. Complaints may also be lodged with SEBI through SCORES at https://scores.sebi.gov.in.